INDIAN CONTRACT ACT 1872 - FORMATION AND VALIDITY

SECTION 10. WHAT AGREEMENTS ARE CONTRACTS: All agreements are contracts if they are made by the free consent of parties competent to contract, for a lawful consideration and with a lawful object, and are not hereby expressly declared to be void.

SECTION 14. FREE CONSENT: Consent is free when it is not caused by coercion (Section 15), undue influence (Section 16), fraud (Section 17), misrepresentation (Section 18), or mistake (Sections 20, 21, 22).

SECTION 23. WHAT CONSIDERATIONS AND OBJECTS ARE LAWFUL: The consideration or object of an agreement is lawful, unless: it is forbidden by law, or is of such a nature that, if permitted, it would defeat the provisions of any law, or is fraudulent, or involves injury to the person or property of another, or the Court regards it as immoral or opposed to public policy.

INDIAN CONTRACT ACT 1872 - REMEDIES FOR BREACH

SECTION 73. COMPENSATION FOR LOSS OR DAMAGE CAUSED BY BREACH OF CONTRACT: When a contract has been broken, the party who suffers by such breach is entitled to receive, from the party who has broken the contract, compensation for any loss or damage caused to him thereby, which naturally arose in the usual course of things from such breach, or which the parties knew, when they made the contract, to be likely to result from the breach of it (Rule in Hadley v. Baxendale). Remote damages not recoverable.

SECTION 74. COMPENSATION FOR BREACH OF CONTRACT WHERE PENALTY STIPULATED FOR: When a contract has been broken, if a sum is named in the contract as the amount to be paid in case of such breach, the party complaining is entitled to receive reasonable compensation not exceeding the amount so named (Kailash Nath Associates v. DDA precedent).